



KLASSIC HEALTH



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SMALL BUSINESS BENEFITS VS. TRADITIONAL INDIVIDUAL INSURANCE

**A Business Owner's Guide to Protecting
Employees While Managing Costs
Marcos Roldan, Independent Broker**

Introduction

- **Attracting and retaining quality employees is one of the most pressing challenges facing small business owners today.**
- **Health and supplemental insurance coverage ranks among the most highly valued employee benefits – yet many owners are unsure where to start.**
- **Multiple benefit strategies exist beyond traditional group insurance, offering flexible and cost-effective alternatives.**
- **This presentation compares traditional group insurance with alternative solutions to help business owners make informed decisions that protect their team while managing costs.**





Traditional Group Health Insurance

- **Employer-sponsored health plan covering eligible employees and their dependents.**
- **ACA-compliant coverage with guaranteed issue for all eligible employees.**
- **Employer contributions are often required to meet plan participation thresholds.**
- **Access to large provider networks with comprehensive major medical coverage.**

Common Features



ACA-Compliant & Guaranteed Issue: Coverage meets federal standards with guaranteed acceptance for all eligible employees – no medical underwriting required.



Employer Contributions & Large Networks: Employers share premium costs, giving employees access to broad provider networks including major hospitals and specialists.



Comprehensive Major Medical Coverage: Covers a wide range of services – hospitalizations, surgeries, preventive care, prescriptions, and specialist visits.

Traditional Group Insurance – Challenges



Rising Annual Premiums: Group insurance costs typically increase 5%–20% each year, making it difficult for small businesses to maintain affordable coverage long-term.



Participation & Contribution Requirements: Most group plans require a minimum percentage of employees to enroll and mandate employer contributions, limiting flexibility.



Administrative Burden & Limited Flexibility: Managing group plans demands significant time and resources, while employees have little choice in tailoring coverage to their individual needs.

What Are Alternative Small Business Benefits?



Supplemental Health & Hospital Indemnity Plans



Accident & Critical Illness Coverage



Life Insurance & Disability Protection



Health Sharing & Individual Health Solutions

Side-by-Side Comparison

- **Monthly Cost**
- **Traditional Group: Higher premiums |
Alternative: Often Lower cost**
- **Employee Flexibility**
- **Traditional Group: Limited options |
Alternative: Greater Choice**
- **Participation Requirements**
- **Traditional Group: Often Required |
Alternative: Usually Not Required**
- **Employer Contributions**
- **Traditional Group: Typically Required |
Alternative: Optional**



Comparison

- **Administrative Burden: Higher vs Lower**
- **Supplemental Protection: Limited vs Strong**
- **Portability: Usually Ends With Employment vs Often Portable**
- **Budget Control: Less Predictable vs More Predictable**

Cost Example – Traditional Group Coverage



Business Size: 10 Employees

Avg. Group Premium:

\$700/employee/month



Employer Contribution: 50% →
\$3,500/month



Annual Employer Cost: \$42,000



Potential Rate Increases: 5%–
20% annually

Cost Example – Alternative Benefit Strategy



- **Business Size: 10 Employees**
- **Coverage: Accident, Hospital Indemnity, Critical Illness & Life Insurance**



- **Employer Budget: \$100 per employee/month | Employer Cost: \$1,000/month**



- **Annual Employer Cost: \$12,000**



- **Potential Annual Savings vs. Group Plan: ~\$30,000**

Employee Benefits of Supplemental Coverage

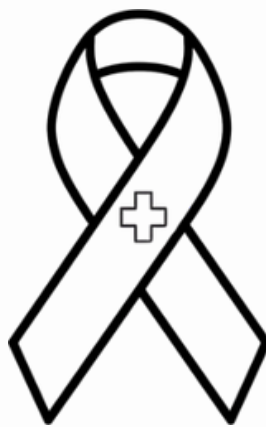
- Supplemental coverage help employees manage out-of-pocket expenses that traditional plans often leave behind.
- • Covers gaps traditional health plans don't address
- • Cash payments made directly to the employee
- • Benefits triggered when qualifying events occur
- • No restrictions on how funds are used
- • Protects income during illness, injury, or hospitalization



Supplemental Coverage Examples



- **Hospital Admission:** A benefit is paid directly to the employee upon hospital admission – helping cover out-of-pocket costs, deductibles, and daily living expenses during recovery.



- **Cancer Diagnosis:** A lump-sum cash payment is made directly to the employee – helping cover lost income, travel to treatment centers, deductibles, and household expenses during illness.



- **Accident Coverage:** Benefits are paid for covered events such as ER visits, ambulance transport, bone fractures, dislocations, and physical therapy – supporting recovery without financial stress.

Hybrid Solutions



**Group Health + Hospital
Indemnity**



Group Health + Critical Illness



**Individual Health Plans +
Employer Stipend**



**Health Sharing + Supplemental
Protection**



Benefits for Employers

- **Employee Retention:** Attract and keep quality staff with meaningful benefits packages.
- **Predictable Costs:** Better budget control with fixed, lower monthly contributions.
- **Increased Employee Satisfaction:** Employees value and appreciate supplemental protection.
- **Flexible Plan Design:** Customize benefits to match your unique workforce needs.
- **Possible Tax Advantages:** Certain benefit contributions may offer tax benefits – consult your tax advisor.

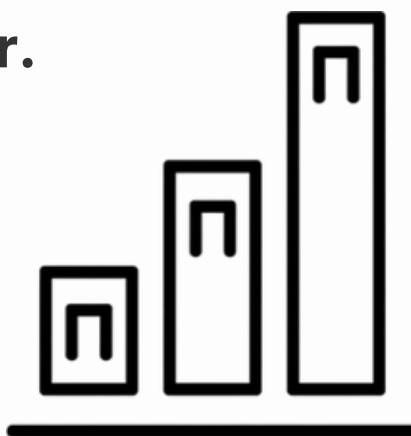
When Is Traditional Group Insurance the Best Choice?



- **Employer Can Afford Higher Premiums**
- **The business has stable cash flow and can sustain monthly group premium contributions, making comprehensive employer-sponsored coverage a financially viable long-term investment.**

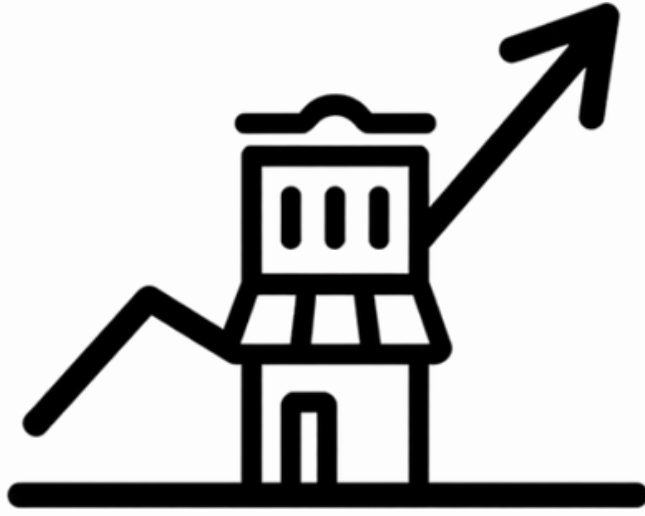


- **Workforce Demands Comprehensive Major Medical**
- **Employees require broad provider networks, low out-of-pocket costs, and full major medical coverage – benefits that traditional group health insurance is specifically designed to deliver.**



- **Company Qualifies for Favorable Rates**
- **The business meets participation requirements, has a healthy employee demographic, and qualifies for competitive group rates – maximizing the value of a traditional group plan.**

When Alternative Benefits Work Better



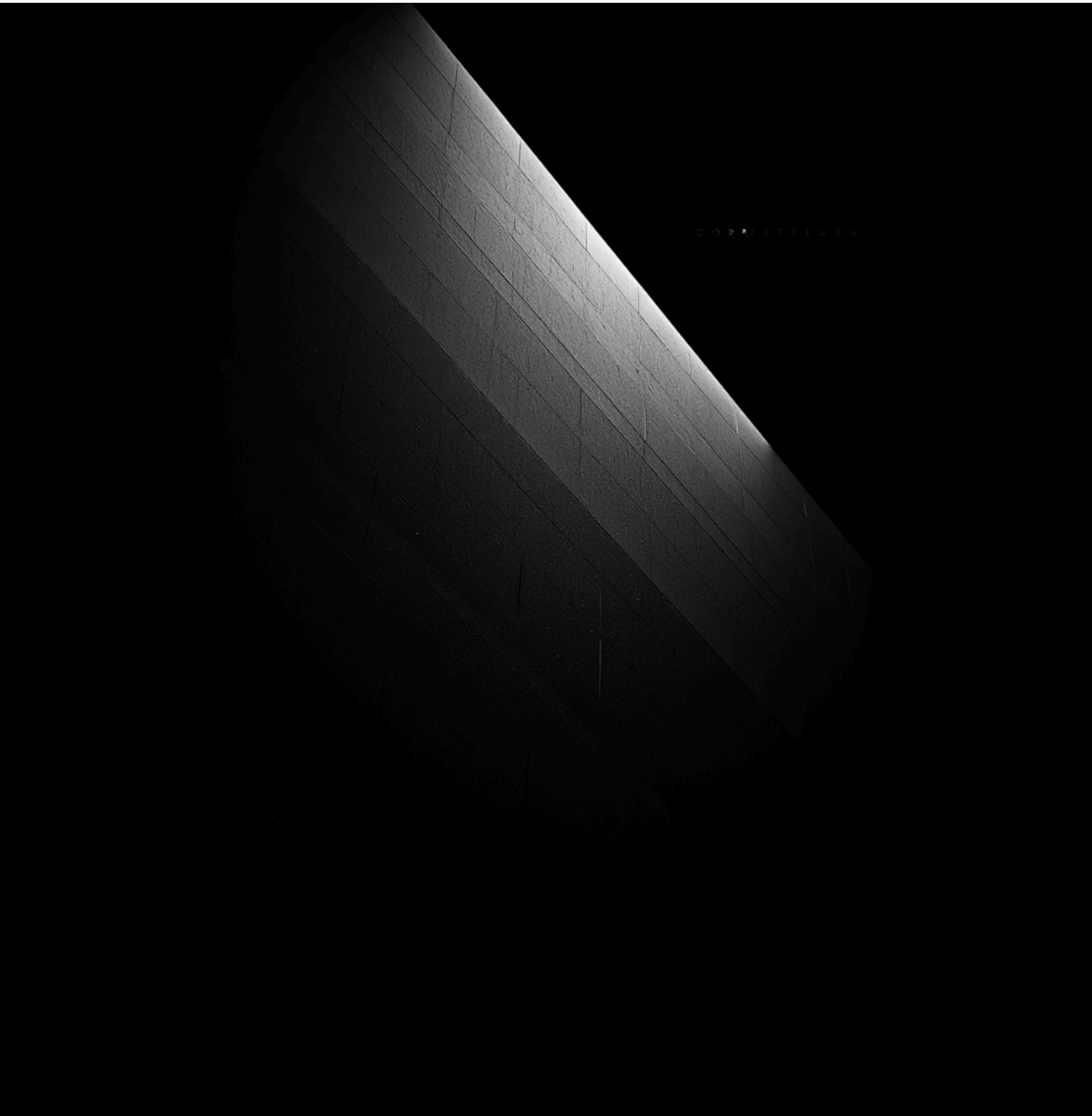
Business is growing and traditional group rates are too expensive – alternative strategies offer affordable, flexible protection that scales with your workforce.



Employees want more flexibility and choice in their coverage – supplemental options allow staff to select benefits that match their personal and family needs.



Employer wants predictable costs and supplemental protection options – alternative benefits provide budget control with meaningful coverage employees truly value.



Final Thoughts

No one-size-fits-all solution exists. The best strategy depends on company size, employee demographics, budget, retention goals, and growth plans. A comprehensive benefits review is essential to identify the most effective and cost-efficient solution for your business.

Our Contact



**Serving Florida &
Multiple States**



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**Schedule a Consultation
Today**



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**Thank
You**

